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POLITICO-MILITARY PROBLEMS OF THE FAR EAST:
NATIONAL COMPOSITION OF FORCES TO OCCUPY FORMOSA
(INCLUDING THE PESCADORES) IN THE POST-DEFEAT PERIOD:
RELATIONS OF THE MILITARY GOVERNMENT OF FORMOSA
WITH CHINA AND THE CHINESE

References: a. SWNCC 16/2
b. SWNCC 53
c. SWNCC 68

Note by the Secretary

The enclosure, a report prepared in lieu of the two separate reports called for in SWNCC 53 and SWNCC 68, is circulated for the consideration of the Subcommittee.

HUGH D. FARLEY
Lieut., USNR
Secretary

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ENCLOSURE

POLITICO-MILITARY PROBLEMS OF THE FAR EAST: NATIONAL COMPOSITION OF FORCES TO OCCUPY FORMOSA: (INCLUDING THE PESCADORES) IN THE POST-DEFEAT PERIOD: RELATIONS OF THE MILITARY GOVERNMENT OF FORMOSA WITH CHINA AND THE CHINESE

Report by the State-War-Navy Coordinating Subcommittee for the Far East

THE PROBLEM

1. To determine the advisability of occupation and establishment of military government by the United States in Formosa until such time as the administration and control thereof can be restored to China.

2. To define the authority and responsibility to be exercised by the military authorities in their administration of military government in Formosa.

3. To determine the extent and conditions of participation in military government by the Chinese Government or its civil or military agents.

4. To define the relations of the military government of Formosa with China and the Chinese.

FACTS BEARING ON THE PROBLEM

5. See Appendix "A" for "Facts Bearing on the Problem".

DISCUSSION

6. See Appendix "B" for "Discussion".

CONCLUSIONS

7. The United States should occupy and establish military government in Formosa, unless circumstances make it possible for China to undertake this responsibility.

8. Military government established in Formosa by the United States should be continued until, in the opinion of the

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United States Government, ~~it~~ such administration can be turned over to Chinese authorities.

9. During ~~a~~ the period of American occupation and military government the designated commander should exercise complete authority over the island and its inhabitants, including all personnel, regardless of nationality, attached to or employed by the military government.

10. China should participate in the American occupation and military government of Formosa to the maximum extent permitted by military expediency~~,~~ and by the ability of the Chinese to exercise such responsibilities, such participation ~~to~~ will be subject to the ~~authority~~ control of the ~~designated American commander~~ military government.

11. The Chinese Government should be consulted on matters of broad policy for planning military government in Formosa. ~~and, in~~ In the formulation and execution of American military government policies, due consideration should be given to Chinese plans for the permanent reorganization of the government of Formosa.

RECOMMENDATIONS

12. It is recommended that:

a. This report be referred to the Joint Chiefs of Staff with a request for their comments from a military point of view.

b. Upon approval by the SWNCC of the "Conclusions" in paragraphs 7, 8, 9, 10, and 11, this report be transmitted to the Joint Chiefs of Staff, and to the State, War and Navy Departments for their guidance and, where appropriate, for proper implementation.

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APPENDIX "A"

FACTS BEARING ON THE PROBLEM

1. The Cairo Declaration states:

> "...all the territories Japan has stolen from the Chinese, such as Manchuria, Formosa and the Pescadores, shall be restored to the Republic of China."

2. In a conference on May 14, 1945, President Truman and Mr. T. V. Soong, Foreign Minister of China, discussed "arrangement, in the event of American landings, to hand over enemy-held Chinese territory and territories that under the Cairo Agreement are to be returned to China. Mr. Soong produced a map of China and said that Manchuria and Formosa should be handed back to China. The President concurred."

> (Dept. of State, Memorandum of Conversation, May 14, 1945: Participants: The President, Mr. T. V. Soong, Acting Secretary, Mr. Grew)

3. SWNCC 87/2, distributed to the State-War-Navy Coordinating Committee and to the Joint Chiefs of Staff on 14 June, 1945, states:

> "If it becomes necessary to occupy Formosa by American forces, military government will be established and should be continued until, in the opinion of the United States Government, such military government can be turned over to Chinese authorities."

4. The State Department on May 15, 1944 made the following recommendations with respect to Formosa:

> a. "The transfer of sovereignty presumably will be followed by transfer of all governmental functions en bloc.
>
> b. In the hypothetical event that large scale civil disturbances occur in China and interfere with the full exercise of authority by a responsible Chinese Government, the actual transfer of governmental functions might have to be delayed and might be gradual or en bloc depending on circumstances. Because of the political and legal considerations involved, decisions on these points would rest with the State Department.
>
> c. If the occupation is long continued and it appears to the military government authorities that even before the transfer of sovereignty some governmental functions could appropriately be delegated

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to the Chinese for autonomous operation, the matter should be referred to the Department of State."

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APPENDIX "B"

DISCUSSION

1. A surrender on the part of the Japanese High Command of Japanese forces everywhere will probably require the occupation of Formosa by United Nations forces in order to accept the surrender of such forces, to establish ~~or~~ and maintain law and order, and to dispose of the military equipment of the Japanese~~. armed forces~~. It ~~may~~ will also be desirable to restore or stimulate Formosan production of foodstuffs, and to obtain access to ~~these foodstuffs~~ such commodities for other areas of the Far East. For these reasons, and to carry out the obligation of the Cairo declaration, the major Allies have the responsibility both for occupation and for the establishment of military government in Formosa. The fulfillment of these obligations may be carried out by one or more of the states most qualified to undertake this task.

2. China's military weakness, her lack of a navy and of assault shipping make it impossible for her to occupy Formosa in the face of opposition. Even in the ~~unlikely~~ event of agreement by the Japanese forces on Formosa to surrender to the Chinese, it is ~~unlikely~~ highly improbable that the Chinese government could dispatch a force strong enough or reliable enough to accept the surrender of a quarter of a million Japanese troops and establish an effective military government. British capabilities in the Far East are limited and are probably barely sufficient to enable the United Kingdom to ~~fulfill~~ discharge her obligations in Japan Proper and in the South East Asia Command and Netherlands East Indies. Moreover it is unlikely that China would agree to British participation in the control of Formosa. Consequently, the United States remains as the one nation most likely to be in a position to accept the surrender of Japanese forces on Formosa and hence should be prepared to assume responsibility

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both for occupation and the establishment of military government.

3. Military government established in Formosa by the United States following occupation should continue only until such time as China is prepared to take over the functions of military government or Chinese sovereignty over Formosa is restored. ~~The transfer of authority over Formosa is restored.~~ The transfer of authority over Formosa will be affected by both military and political considerations. ~~"~~While it will be to the military interest of the United States to remove the troops in occupation and to transfer military government at the earliest practicable date after completion of the task of repatriating Japanese troops, due cognizance should be taken of political conditions within China and the Far East at the time. In the event that large scale civil disturbances occur in China and interfere with the full exercise of authority by a responsible Chinese government, it would be in the interests of the United States as well as of the Formosan people to postpone the transfer of authority to China."

~~a. Chaotic conditions in Formosa resulting from the imposition of an unstable, ineffective Chinese administration might adversely affect the economic situation in the Far East at that time. Formosan food production may be urgently needed in other areas and unless the United States or an effective Chinese administration controls Formosa during this period,-it may be impossible to mobilize Formosan resources-quickly and efficiently.~~

~~b. Chaotic conditions in Formosa during the immediate post-defeat period might adversely affect the general political situation in the Far East at that time. It is known that there are revolutionary movements in existence in Formosa which may become active at the time of capitulation. Imposition of an ineffective Chinese regime might not only inspire widespread-popular unrest within the~~

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~~island but might produce serious repercussions in either areas of the Far East.~~

Chaotic conditions in Formosa resulting from the imposition of an unstable, ineffective Chinese administration might adversely affect both the economic and political situation in the Far East at the time. Formosan food production might be urgently needed in other areas and unless the United States or an effective Chinese administration controls Formosa during this period, it ~~may~~ might be impossible to mobilize Formosan resources quickly and efficiently. It is known that there are revolutionary movements in existence in Formosa which may become active at the time of capitulation. Imposition of an ineffective Chinese regime might not only inspire popular unrest within the island but might produce serious repercussions in the Far East. Concern for the Formosan people is consistent with the Declaration regarding Non-Self Governing Territories in the United Nations Charter which accepts obligation "to take due account of the political aspirations of the peoples". ~~o.~~ "Decision as to when the government of Formosa shall be turned over to China should be rendered by the State Department after consideration of the conditions which exist at the time and after obtaining the views of the Joint Chiefs of Staff. In this connection it should be noted that if sovereignty over Formosa is restored to China before she can exercise adequately her responsibilities in connection with the government of that island, it may be necessary to continue United States civil affairs administration for an interim period. In such case the United States must enter into agreements with China to that end.

4. Since Formosa is to ~~be restored to Chinese sovereignty,~~ be returned to China and since the population of Formosa is predominantly Chinese, in origin, language and culture, it would be desirable to accord to the Chinese Government maximum participation consistent with military expediency in an American occupation and military government of Formosa. The extent of such participation should depend on the ability of the Chinese to exercise the necessary functions. , ~~Since Formosa is to return~~ to

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China and since the population of Formosa is predominantly Chinese in origin, language, and culture, it is desirable for the United States to obtain active participation by China in the military-government of Formosa and should be initiated at as early a time as practicable consistent with the military situation and the maintenance of a stable and effective regime. To this end close liaison should be maintained and consultation on matters of broad policy should be effected between the United States military government and the government of China. The United States authorities should give consideration to Chinese plans for the permanent reorganization of the government of Formosa. However, since responsibility rests on the United States, final authority must also be vested therein.

5. American The military government should employ as many local Chinese and local Formosan Chinese as practicable. Chinese citizens or Formosans resident outside the island should not be employed and brought into Formosa without the approval of the Chinese Government. It is likewise recognized that it may not be desirable during the immediate post-defeat occupation to bring into Formosa large numbers of Chinese recommended by the National Government, due to the transportation difficulties and possible unfavorable effect upon the efficiency of the administration. The military governor will, of course, exert complete control over the entry of persons, of whatever nationality, into Formosa. Assumption of responsibilities by the Chinese and Formosan personnel should increase as the time of transfer of authority to China draws near.

6. The Formosan Chinese and the aborigines possess certain legal rights and interests defined in the existing legal codes of Formosa which will continue until the transfer of sovereignty. Therefore, during the period of military government, short term administrative acts should be designed to meet the immediate interest of the Formosan people, as distinct from those of the Chinese Government. Any acts of long-term significance, which may have to be undertaken by the Military Government such

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~~as the reorganization of the educational system, or permanent forms of governmental reorganization, should accord with the policies of the Chinese Government, provided of course that such policies coincide with American ideals and with international law.~~ While acts of long term significance should be avoided to the extent possible, those which may have to be undertaken should accord with the policies of the Chinese Government.

7. Should the United States Government wish to reserve certain rights or privileges, these should be the subject of special agreements with the Government of China, at the time military government functions are transferred to Chinese authorities or sovereignty over Formosa is formally restored to China. ~~It may be,~~ For example, ~~that~~ it ~~will~~ may be desirable to secure continued control over certain exports of Formosan products for use in other areas of the Far East.